

LRN pitch deck

PITCH — LRN — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: REJECT — no position in Stride (LRN) before the late-October earnings report. The stock is genuinely cheap, but every bound we tried to put on the fraud/accounting tail failed verification, and the decisive variable (fall enrollment) is currently invisible to us. Re-open only if the three verification gates below clear.

Both review teams reached the same answer independently: the skeptic recommended rejection (conviction 7/10) and the auditing bench sustained it after checking every finding (conviction 8/10), correcting errors in both directions along the way.

What we believe

Stride runs online public schools (K12) and career-learning programs for school districts. The stock has been cut in half from its 52-week high of \$171 to \$83.36, largely on a fraud scandal: a New Mexico school district — Gallup-McKinley County Schools, one of Stride’s own paying customers — filed a complaint in September 2025 alleging Stride inflated enrollment counts (“ghost students”) to collect per-pupil state funding. Shareholder class actions followed.

On the numbers alone, the business looks like a bargain. Fiscal 2026 (ended June 30, 2026) showed GAAP operating income of \$450.8M and net income of \$338.2M against a fully-diluted market cap of about \$4.08B — roughly 12× earnings, closer to 6× operating profit after adjusting for the cash position, with no meaningful debt. Last year’s one-time impairment did not repeat. That cheapness is real and both review teams confirmed it from the company’s own press release ([FY26 results](#)).

But we do not believe the stock is buyable today, because cheapness only carries the day if the worst-case scenarios can be bounded — and we could not bound them. Specifically:

- **The accusing party is a customer, not just shareholders.** A customer suing you for fraud over the exact metric that drives your revenue (enrollment) is a different and worse animal than a securities suit. Worse, we found the district had already **terminated its contract effective June 30, 2025** — before it sued.
- **The company has a documented history of internal-controls failure.** Its prior auditor (BDO) issued an *adverse* opinion on internal controls in 2023 — failures specifically in IT general controls (user access, program changes, data processing), which is exactly the surface area an enrollment-count fraud allegation touches. The material-weakness era runs right up to the start of the alleged class period. Primary source: the [auditor-change 8-K](#).

- **The new CEO (five days on the job at the report date) issued no forward guidance at all** — no revenue, profit, or capex outlook for fiscal 2027 — heading into the very enrollment season that decides the year.
- **Not one insider has bought stock in the open market** since the collapse, including the new CEO. All four post-report insider filings were grants and tax-withholding only.
- **The brand-new 10-K still contains “material weakness” language somewhere we haven’t been able to read.** Three separate attempts to read the controls section (Item 9A) and the legal-proceedings section (Item 3) failed for technical fetch reasons.

What the market believes

The market has priced roughly a halving of the equity: down 51% from the high, but also up 37% off the 52-week low of \$60.61 — so this is a partially recovered wreck, not a fresh panic. The implied view is something like: “the fraud allegations are serious enough to destroy the growth premium, but the company earns too much real money to trade lower.” At 12× trailing GAAP earnings for a company that was recently a growth darling, the market is treating the litigation as survivable and the earnings as mostly durable, while withholding any credit for growth until enrollment and legal clarity arrive.

Why we might have edge

- **We identified the customer-plaintiff distinction.** Most coverage frames this as a shareholder-suit story. We traced the originating complaint to a paying district partner and — via local reporting the national press missed — found the [contract termination](#) preceded the complaint. That sequencing (customer quietly terminates, *then* sues) is a higher-signal fraud pattern than litigation alone, and we are cataloging it as a reusable detector.
- **We read the primary documents where secondary coverage got them wrong** — decoding all four insider filings, pulling the adverse internal-controls opinion from the actual 8-K, and re-verifying the earnings figures from the company’s own release rather than transcripts.
- **We know exactly what would change the answer**, which is itself an edge: a clean controls opinion in the 10-K, a genuine open-market insider buy, or evidence that teacher hiring (a leading indicator of enrollment) is holding up year-over-year. Nobody clears those gates by accident; we can watch for them deliberately.

Why it might be priced in

Honestly, much of the bear case may already be in the price. The stock has already fallen by half; the fraud allegations, the CEO change, and the guidance withdrawal are all public. The contract termination we “found” is realized history — that district’s revenue loss is already inside the fiscal 2026 results we called cheap, not a pending shock. If October brings a clean controls opinion, stable enrollment, and reinstated guidance, today’s \$83 will have been the entry, and our caution will have cost us the discount. We accept that risk explicitly: the review found the situation *unverifiable*, not *doomed*, and unverifiable at 12× earnings is a closer call than the verdict’s confidence might suggest.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Original thesis brief: “the FY27 revenue guide” bounds the downside	Fetches the actual earnings press release (via proxy after direct fetch was blocked)	No fiscal-2027 guidance of any kind exists in the release. Our own brief cited a document that doesn’t say what it claimed.	❌ Refuted — our bench error
Original brief: “applications trailing slightly behind” appears in the 8-K/press release	Auditing bench re-read the release	Quote exists only in a secondary call transcript , not any filing. Mis-citation by our brief.	❌ Refuted — our bench error
Skeptic bench: FY26 10-K is absent from material-weakness search hits (“weakly clean”)	Auditing bench re-ran the full-text search restricted to 2026	The new 10-K is a material-weakness hit; exact location unreadable due to document truncation.	❌ Refuted — our bench error, and it flips <i>against</i> the stock
No restatement, so the fraud tail is bounded	EDGAR full-text search + 8-K read verbatim	Material weakness disclosed in FY23/FY24 10-Ks, three 10-Qs, and an 8-K; BDO’s 2023 report was an adverse internal-controls opinion in IT general controls; auditor then changed to KPMG. Tail not bounded.	✅ Confirmed (bearish)
No insider open-market buying since the crash	All four post-report Form 4 filings decoded (two per bench)	Grants and tax-withholding only, at \$82.51. New CEO Knowing: award shares plus price-growth-gated units to 2029; zero purchases .	✅ Confirmed
The accusing plaintiff is a paying customer	Web search + complaint coverage + local NM reporting	Confirmed — and the district terminated its contract effective 2025-06-30, before suing . Skeptic bench missed the termination; auditing bench found it. Termination losses are already in FY26 results (softens the forward revenue tail); arbitration damages, state clawback, and copycat suits in other states remain.	✅ Confirmed, with correction
The cheapness is real (not an adjusted-numbers illusion)	GAAP figures from the company’s release, market cap from diluted shares	Operating income \$450.8M, net income \$338.2M, ~12.1× earnings, prior-year impairment did not recur. The one thesis leg that survived cleanly.	✅ Confirmed
Current price	Live broker quote unavailable (permission denied in both review sessions)	Fell back to the evidence-pack price of \$83.36, corroborated by the \$82.51 insider tax-withholding price from Aug 8 filings.	⚠️ Partially — stale-quote risk noted
Teacher-hiring data can proxy fall enrollment before October	Ran our hiring-velocity tool	Returned nothing — it was run without required keyword/location parameters. The claimed early-warning capability is currently words, not a working system.	❌ Not confirmed — our tooling error
Controls section (Item 9A) and legal section (Item 3) of the new 10-K read clean	Three fetch routes attempted (direct SEC, two proxies)	All three failed or truncated before those sections. Still unread.	❌ Unverified — the binding gap

PROPOSED ENTRY BANDS

The court's answer is no entry now, at any price, because the blocker is missing information, not valuation. The valuation leg passed; a lower price does not fix an unreadable controls opinion. Accordingly, these are **reopen conditions**, not buy orders:

Reopen gates (all information-based — clearing any one triggers a re-review, clearing all three plus the print supports an entry case): 1. **Read Item 9A and Item 3 of the FY26 10-K** ([direct link](#)) from a session with working fetch tools. Required outcome: KPMG's internal-controls opinion is clean (unqualified) and the legal accrual is immaterial. This is the single highest-value action and costs nothing. 2. **Any genuine open-market insider purchase** (Form 4 transaction code P) by CEO Knowing or any director. Not grants, not withholding — an actual buy. 3. **Instrumented teacher-hiring signal:** re-run the hiring-velocity tool with proper keyword/location parameters and see year-over-year teacher job postings holding up, as an enrollment proxy through the blind window.

Price reference points from the benches' math (for re-review triggers, not entries): -

\$60.61 (52-week low): a break below re-opens the case for review from the other direction — at that price the multiple compresses toward $\sim 9\times$ GAAP earnings and the market would be pricing something closer to the fraud-tail scenario we couldn't bound. Trigger: re-court, not buy. - **$\sim \$83$ (current):** fair reference for the “unverifiable at $12\times$ ” judgment. No add/trim levels exist because there is no position.

Sizing: 0% now. If all gates clear before or at the October report, the proposal is to return to court for a starter-position ruling — no size is pre-authorized by this verdict.

Catalyst dates: next earnings report estimated **2026-10-27** — this date is derived from a data vendor and **unconfirmed**; no company press release names it (last year's equivalent report came October 28). Fall enrollment counts, fiscal-2027 guidance (or its continued absence), and the KPMG controls opinion discussion all likely land there.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 60.61 (deck-provisional: 52-week-low break compresses the multiple toward $\sim 9\times$ GAAP and re-opens the case for court review (re-c))
- filing watch: 4 until 2027-02-11 (deck-provisional: any P-code open-market insider purchase is reopen gate #2 — grants/withholding do not count)
- dated pack LRN|2026-10-27: LRN: Q1 FY27 earnings — fall enrollment, FY27 guidance or continued absence, controls discussion (vendor-derived date, no company PR confirm)

What remains unverified

- **Item 9A (internal controls) and Item 3 (legal proceedings) of the FY26 10-K** — unread after three attempts. The new 10-K contains material-weakness language *somewhere*; until we

read it in context, we don't know whether it's historical narrative or a live weakness. This is the single fact most likely to change the verdict in either direction.

- **Fall 2026 enrollment** — the decisive business variable, unobservable until the October report, with our only leading-indicator tool not yet working.
- **The actual earnings date** (vendor-derived, no company confirmation).
- **Live executable price** (broker quote permission unavailable in both review sessions; pack price corroborated only indirectly).
- **Scope of other-state replication risk** — whether other district customers follow Gallup-McKinley's terminate-then-sue path. No second instance found, but we did not exhaustively survey district contracts.
- **GMCS arbitration exposure in dollars** — no accrual figure read (see Item 3 above).

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